GOVERNMENT OF INDIA

# Ministry of Defence

## Strength, Security, Sovereignty

Confidential and Proprietory
August 2026

# SHRI NARENDRA MODI

## HONORABLE PRIME MINISTER, INDIA



## MESSAGE



Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

# SHRI RAJNATH SINGH

## HONORABLE MINISTER, MINISTRY OF DEFENCE



## MESSAGE



Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

# SHRI MUNINDRA KUMAR

## DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



## MESSAGE

A strong and self-reliant defence ecosystem is fundamental to safeguarding India's sovereignty, national security, and strategic interests. The Ministry of Defence plays a vital role in strengthening defence preparedness, modernizing the armed forces, promoting indigenous manufacturing, advancing defence technologies, and fostering innovation that contributes to both national security and economic growth.

The Chamber of Commerce and Industries of India (CCI India) firmly supports the Government's vision of *Atmanirbhar Bharat* by encouraging greater participation of industry, startups, MSMEs, research institutions, academia, and technology innovators in India's defence ecosystem. Through policy advocacy, investment facilitation, industrial partnerships, innovation platforms, skill development, and international collaboration, CCI India seeks to contribute towards building a globally competitive defence manufacturing and technology ecosystem.

This Knowledge Paper provides comprehensive insights into the Ministry's strategic priorities, modernization initiatives, defence industrial policies, innovation frameworks, procurement reforms, and investment opportunities. It explores emerging areas including defence manufacturing, aerospace technologies, artificial intelligence, cybersecurity, unmanned systems, advanced materials, dual-use technologies, and public-private partnerships.

The publication is intended to serve as a strategic reference for policymakers, defence organizations, industry leaders, investors, startups, technology companies, research institutions, academia, and development partners interested in contributing to India's defence modernization journey. By fostering collaboration and innovation, it aims to strengthen indigenous capabilities, generate high-value employment, promote technological excellence, and enhance national resilience.

As India continues to emerge as a leading global power, a modern and innovation-driven defence ecosystem will remain central to national progress. CCI India remains committed to supporting the Ministry of Defence in building a secure, technologically advanced, and self-reliant defence sector capable of meeting future strategic challenges.

Munindra Kumar
Director General
CCI India



Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

# Preface

The Ministry of Defence (MoD) stands as the custodian of India's sovereign security architecture and one of the largest public-sector organisations in the world, overseeing a budget exceeding ₹6.21 lakh crore in Union Budget 2024–25 and commanding one of the most complex institutional ecosystems in any government globally.[1] Its mandate extends far beyond conventional military administration encompassing indigenisation of defence production, aerospace and maritime capability development, strategic technology acquisition, veterans' welfare, and the cultivation of a globally competitive defence industrial base. In the era of Viksit Bharat 2047, the Ministry of Defence occupies a uniquely dual role: as the guarantor of national security and as an engine of economic transformation.

India's strategic ambitions articulated through Aatmanirbhar Bharat Abhiyan, the Defence Acquisition Procedure 2020, the Defence Production and Export Promotion Policy (DPEPP) 2020, the iDEX initiative, and the establishment of two dedicated Defence Industrial Corridors in Uttar Pradesh and Tamil Nadure present one of the most substantive industrial policy reformations in the post-independence era.[2] These initiatives collectively aim to reduce import dependence, stimulate domestic manufacturing, catalyse startup and MSME participation, and position India among the world's top five defence exporters by 2029.

This Knowledge Paper has been prepared by CCI India the Chamber of Commerce and Industry of India with the explicit purpose of identifying strategic collaboration opportunities between CCI India and the Ministry of Defence. The paper is grounded in a rigorous analysis of the Ministry's constitutional mandate, institutional architecture, sector landscape, fiscal trajectory, policy priorities, and execution challenges. It is intended not as a descriptive overview, but as an actionable strategic framework that articulates where, how, and why CCI India can serve as a catalytic implementation and policy facilitation partner.

The paper is intended for Union Ministers, Secretaries to the Government of India, NITI Aayog, senior bureaucrats, industry leaders, investors, development finance institutions, and international strategic partners. It reflects CCI India's commitment to contributing meaningfully to India's defence transformation and its vision of a self-reliant, technologically advanced, and globally respected defence ecosystem aligned with Viksit Bharat 2047.

Every parliamentary committee reports, Union Budget documents, NITI Aayog publications, and authoritative international benchmarks. CCI India remains committed to deepening its engagement with the Ministry of Defence as a trusted, capable, and mission-aligned partner.

**Chambers of Commerce and Industry (CCI India)**



Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

# TABLE OF CONTENTS


**SHRI NARENDRA MODI** ..... **2**

*HONORABLE PRIME MINISTER, INDIA* ..... *2*

**SHRI RAJNATH SINGH** ..... **3**

*HONORABLE MINISTER,* ..... *3*
*MINISTRY OF DEFENCE* ..... *3*

**SHRI MUNINDRA KUMAR** ..... **4**

*DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA* ..... *4*

**PREFACE** ..... **5**

**CHAMBERS OF COMMERCE AND INDUSTRY (CCI INDIA)ABOUT CCI INDIA** ..... **5**

**ABOUT CCI INDIA** ..... **6**

**1: INTRODUCTION TO THE MINISTRY** ..... **9**

1.1 Ministry Mandate and Constitutional Relevance ..... 9
1.2 Evolution and Governance Role ..... 9
1.3 National Significance ..... 9

**2: HISTORICAL TIMELINE OF THE MINISTRY** ..... **10**

2.1 Institutional Evolution and Key Milestones ..... 10

**3: MINISTRY OVERVIEW & ORGANISATIONAL STRUCTURE** ..... **12**

3.1 Departmental Architecture ..... 12
3.2 Defence Research and Development Organisation (DRDO) ..... 13
3.3 Defence Public Sector Undertakings (DPSUs) ..... 13
3.4 Key Attached Offices and Autonomous Bodies ..... 14

**4: STRATEGIC IMPORTANCE OF THE MINISTRY** ..... **14**

4.1 Economic Contribution ..... 14
4.2 Employment and Social Contribution ..... 15
4.3 Global Strategic Significance ..... 15

**5: DEFENCE SECTOR LANDSCAPE IN INDIA** ..... **16**

5.1 Market Size and Growth Trajectory ..... 16
5.2 Industry Structure and Key Stakeholders ..... 16
5.3 Export Landscape and Future Outlook ..... 17

**6: MINISTRY PROGRESS REVIEW (2020–2026)** ..... **17**

6.1 Budget Evolution ..... 17
6.2 Key Reforms and Achievements (2020–2026) ..... 18

**7: CURRENT LANDSCAPE ANALYSIS** ..... **19**

7.1 Major Achievements ..... 19
7.2 Existing Challenges ..... 20
7.3 Global Benchmarking ..... 20

**8: STRATEGIC NEED FOR CCI INDIA COLLABORATION** ..... **21**

8.1 Ecosystem Gaps Requiring Industry Partnership ..... 21
8.2 Market Failures and PPP Gaps ..... 21
8.3 Startup and MSME Integration Requirement ..... 22

**9: GAP ANALYSIS FRAMEWORK** ..... **22**

9.1 Structural Gap Assessment ..... 22




Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

**10: OPPORTUNITY ASSESSMENT MATRIX ..... 23**

10.1 Strategic Opportunity Mapping ..... 23

**11: INNOVATION & DEFENCE STARTUP ECOSYSTEM ANALYSIS ..... 25**

11.1 IDEX Innovations for Defence Excellence ..... 25
11.2 DRDO Technology Development Fund (TDF) ..... 25
11.3 Innovation Ecosystem Mapping ..... 26

**12: STRATEGIC ROLE OF CCI INDIA ..... 27**

12.1 Institutional Strengths as Strategic Assets ..... 27
12.2 Role Architecture ..... 27

**13: PROPOSED COLLABORATION FRAMEWORK ..... 28**

13.1 Framework Architecture ..... 28
13.2 PPP Model and Coordination Mechanism ..... 29
13.3 Centres of Excellence Proposal ..... 29

**14: PROPOSED FLAGSHIP PROGRAMMES FOR CCI INDIA ..... 30**

14.1 Programme Portfolio Overview ..... 30

**15: INVESTMENT & FUNDING FRAMEWORK ..... 32**

15.1 Funding Architecture ..... 32
15.2 Five-Year Investment Pipeline ..... 33

**SECTION 16: STAKEHOLDER ENGAGEMENT PRIORITY FRAMEWORK ..... 34**

16.1 Strategic Rationale ..... 34

**17: EXPECTED IMPACT ASSESSMENT ..... 36**

17.1 Economic Impact Projections ..... 36
17.2 Social and Innovation Impact ..... 37

**18: FIVE-YEAR STRATEGIC ROADMAP (2026–2031) ..... 38**

18.1 Year-wise Milestones ..... 38
Roadmap Analysis ..... 39

**19: WHY CCI INDIA IS THE IDEAL STRATEGIC PARTNER ..... 39**

19.1 Institutional Strengths ..... 39
19.2 National Network and Government Engagement ..... 39
19.3 Research, Innovation, and Investor Network ..... 40

**20: STRATEGIC ACTION AGENDA & POLICY RECOMMENDATIONS ..... 40**

20.1 Immediate Priorities (2026–27) ..... 40
20.2 Medium-Term Priorities (2027–2029) ..... 41
20.3 Long-Term Priorities (2029–2031) ..... 41

**CONCLUSION ..... 43**



Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

# About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.



Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

# 1: INTRODUCTION TO THE MINISTRY

## 1.1 Ministry Mandate and Constitutional Relevance

The Ministry of Defence derives its constitutional mandate from Entry 1 of the Union List (List I) of the Seventh Schedule of the Constitution of India, which grants Parliament exclusive legislative authority over defence of India and every part thereof, including preparation for defence and all such acts as may be conducive in times of war to its prosecution and after its termination to effective demobilisation. This constitutional placement underscores the singular national importance of the Ministry defence is not a concurrent subject, nor is it a state matter; it is the exclusive domain of the Union Government, and the Ministry of Defence is the institutional expression of that sovereign responsibility.

This mandate translates into an extraordinarily diverse institutional portfolio. The Ministry administers India's Armed Forces  the Indian Army, Indian Navy, and Indian Air Force which collectively comprise the third largest military force in the world. It governs the Indian Coast Guard, a premier maritime law enforcement agency. It oversees the Defence Research and Development Organisation (DRDO), responsible for developing cutting-edge technologies across missiles, electronic warfare, cyber defence, and space. It administers Defence Public Sector Undertakings (DPSUs) including Hindustan Aeronautics Limited (HAL), Bharat Electronics Limited (BEL), Bharat Dynamics Limited (BDL), BEML Limited, Garden Reach Shipbuilders and Engineers (GRSE), Goa Shipyard Limited (GSL), Mazagon Dock Shipbuilders Limited (MDL), and Mishra Dhatu Nigam Limited (MIDHANI), each contributing to a domestic defence industrial base of strategic significance.

## 1.2 Evolution and Governance Role

The Ministry of Defence in its current form is the product of over seven decades of institutional evolution, shaped by India's post-independence security imperatives, successive wars, nuclear development milestones, and the recent paradigm shift towards indigenisation and export promotion. The Ministry's governance role has expanded significantly since 2016 with the creation of the Chief of Defence Staff (CDS) position, the establishment of the Department of Military Affairs (DMA), and the progressive implementation of the Defence Acquisition Procedure (DAP) 2020, which introduced new procurement categories Buy (Indian-IDDM), Buy (Indian), Buy & Make (Indian)explicitly designed to prioritise domestic manufacturing.

Beyond procurement governance, MoD now plays an active industrial policy role. The Department of Defence Production (DDP) functions as the nodal authority for the domestic defence industry ecosystem, overseeing licensing, indigenisation promotion, export facilitation, and the two Defence Industrial Corridors (DICs). This dual role as military administrator and industrial policy driver distinguishes MoD from most other Union Ministries and elevates its significance as a partner for industry bodies such as CCI India.

## 1.3 National Significance

The national significance of MoD extends across three dimensions. First, from a sovereignty perspective, a capable and self-reliant defence establishment is the ultimate guarantor of India's territorial integrity and strategic autonomy. Second, from an economic perspective, the Ministry is one of the largest capital expenditure arms of the Union Government, with capital outlay of ₹1,72,000 crore in 2024–25, a significant proportion of which is earmarked for domestic procurement, creating industrial demand that cascades through the MSME and startup ecosystem.Third, from a social perspective, MoD's veteran welfare programmes, Sainik Schools, and canteen ecosystem serve millions of defence personnel and their families, representing a distinct social protection mandate.



Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003

## 2: HISTORICAL TIMELINE OF THE MINISTRY

### 2.1 Institutional Evolution and Key Milestones

The Ministry of Defence's history is a narrative of institutional adaptation to India's evolving security environment and strategic ambitions. From the colonial administrative apparatus of the Defence Department under British India, through the post-independence consolidation of the three Services, to the 21st-century indigenisation revolution, MoD's trajectory reflects India's transformation as a strategic power. The timeline below captures defining moments across policy, institutional structure, and defence industrial development.

| Year | Milestone | Strategic Significance |
|---|---|---|
| 1947 | Ministry of Defence established post-independence, inheriting British India's defence apparatus | Foundational institutional mandate established |
| 1962 | Sino-Indian War triggers modernisation imperatives; Ordnance Factories Board expanded | Defence industrial urgency catalysed large-scale domestic production push |
| 1965 & 1971 | Indo-Pakistan Wars demonstrate logistics and production gaps; HAL role expanded | Domestic aerospace manufacturing prioritised; HAL expanded to produce MiG-21s under licence |
| 1974 | Pokhran-I (Smiling Buddha); DRDO's strategic R&D role elevated | India establishes independent nuclear programme; DRDO mandate broadened to strategic technologies |
| 1983 | Integrated Guided Missile Development Programme (IGMDP) launched | India's indigenous missile programme initiated; laid foundation for Agni, Prithvi, Akash series |
| 1998 | Pokhran-II (Operation Shakti); India declares nuclear-weapons state | Fundamental shift in India's deterrence posture; strategic autonomy doctrine articulated |
| 2001 | Defence Procurement Procedure (DPP) 2001 introduced | First systematic framework for private sector participation in defence procurement |
| 2001 | Private sector permitted in defence manufacturing via Industrial Licensing Policy | Structural opening of defence industry to non-public sector entities |



Copyright CCI India | www.cciindia.org | 13 Institutional Area, Lodhi Road, New Delhi 110003